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United States District Court, E.D. North Carolina,

Harris v. Vanderburg

United States District Court, E.D. North Carolina, Eastern Division. February 10, 2022 | 584 F.Supp.3d 82 (Approx. 35 pages)

William HARRIS, and Phyllis Harris, Plaintiffs,**v.**

Mary Jane VANDERBURG, et al., Defendants.

No. 4:19-CV-111-D

Signed 02/10/2022

Synopsis

Background: Tenants brought action against landlord, property manager, its broker, and neighboring tenant, who was landlord's nephew, alleging racially **discriminatory** conduct in violation of the Fair Housing Act (FHA) and state law. Landlord filed motion for summary judgment, and property manager and broker filed separate motion for summary judgment.

Holdings: The District Court, **James C. Dever, III**, J., held that:

- 1 property manager and broker were not directly liable for neighboring tenant's **discriminatory** conduct;
- 2 genuine issue of material fact existed as to whether landlord knew or should have known about **discriminatory** conduct;
- 3 property manager and broker did not make housing unavailable to tenants;
- 4 genuine issues of material fact existed as to whether tenants unreasonably delayed in vacating premises;
- 5 property manager and broker did not **discriminate** against tenants in terms, conditions, or privileges of **rental**;
- 6 property manager and its broker were not liable for allegedly hostile housing environment created by **discriminatory** conduct;
- 7 there was no evidence that defendants made any **discriminatory** statement indicating a racial preference concerning who could rent tenants' unit;
- 8 genuine issues of material fact existed as to what tenants reported to defendants about neighboring tenant's conduct and who knew what when;
- 9 under North Carolina law, defendants did not attempt to evict tenants based on tenants' stalking charges against neighboring tenant; and
- 10 genuine issues of material fact existed as to whether neighboring tenant's conduct was reasonably foreseeable under North Carolina law.

Motions granted in part and denied in part.

West Headnotes (58)[Change View](#)

1 Summary Judgment

On a defendant's motion for summary judgment, the mere existence of a scintilla of evidence in support of the plaintiff's position is insufficient to create a genuine issue of material fact. [Fed. R. Civ. P. 56\(a\)](#).



368H	Summary Judgment
368HIV	Ascertaining Whether Fact Issue Exists
368Hk79	Sufficiency of Evidence
368Hk89	Scintilla of evidence; minimal amount (Formerly 170Ak2546)

2 Civil Rights

A plaintiff may establish a violation of the Fair Housing Act (FHA) either through direct evidence of **discrimination**, circumstantial evidence, or the [McDonnell Douglas](#) burden-shifting framework. Civil Rights Act of 1968, § 801 et seq., [42 U.S.C.A. § 3601 et seq.](#)



78	Civil Rights
78III	Federal Remedies in General
78k1400	Presumptions, Inferences, and Burdens of Proof
78k1403	Property and housing
78	Civil Rights
78III	Federal Remedies in General
78k1416	Weight and Sufficiency of Evidence
78k1419	Property and housing

3 Civil Rights

Direct evidence of **discrimination** under the Fair Housing Act (FHA) includes conduct or statements that both (1) reflect directly the alleged **discriminatory** attitude, and (2) bear directly on the contested housing decision. Civil Rights Act of 1968, § 801 et seq., [42 U.S.C.A. § 3601 et seq.](#)



78	Civil Rights
78III	Federal Remedies in General
78k1416	Weight and Sufficiency of Evidence
78k1419	Property and housing

[1 Case that cites this headnote](#)

4 Civil Rights

In a disparate-treatment claim, a plaintiff must establish that the defendant had a **discriminatory** intent or motive.



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1030	Acts or Conduct Causing Deprivation
78k1033	Discrimination in General
78k1033(1)	In general

5 Civil Rights

The Fair Housing Act (FHA) creates a statutory tort action, and the FHA incorporates the legal background of ordinary tort-related vicarious liability rules. Civil Rights Act of 1968, § 801 et seq., [42 U.S.C.A. § 3601 et seq.](#)



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1075	In general

6 Civil Rights

The Department of Housing and Urban Development's (HUD) rule making a person directly liable for failing to take prompt action to correct and end a **discriminatory** housing practice by a third-party mirrors the scope of employer liability under Title VII for employee-on-employee harassment. Civil Rights Act of 1964, § 701 et seq., [42 U.S.C.A. § 2000e et seq.](#); [24 C.F.R. § 100.7\(a\)\(iii\)](#).

[1 Case that cites this headnote](#)



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1086	Harassment; hostile environment

**7 Labor and Employment
Landlord and Tenant**

The landlord-tenant relationship, unlike the employer-employee relationship, is not a recognized agency relationship.



231H	Labor and Employment
231HI	In General
231Hk22	Nature, Creation, and Existence of Employment Relation
231Hk23	In general
	
233	Landlord and Tenant
233I	Creation and Existence of the Relation
233k501	Nature of the relation

8 Civil Rights

Landlords typically do not, and therefore cannot be presumed to, exercise the degree of control over tenants that would be necessary to impose liability under the Fair Housing Act (FHA) for tenant-on-tenant harassment. Civil Rights Act of 1968, § 801 et seq., [42 U.S.C.A. § 3601 et seq.](#); [24 C.F.R. § 100.7\(a\)\(iii\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1086	Harassment; hostile environment

9 Civil Rights

A landlord's liability under the Fair Housing Act (FHA) for a tenant-harasser's conduct, outside of a formal agency relationship, exists only if the landlord has substantial control over the context in which the harassment occurs and over the harasser. Civil Rights Act of 1968, § 801 et seq., [42 U.S.C.A. § 3601 et seq.](#); [24 C.F.R. § 100.7\(a\)\(iii\)](#).

[1 Case that cites this headnote](#)



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1086	Harassment; hostile environment

10 Civil Rights

The typical powers of a landlord over a tenant, such as the power to evict, do not suffice to establish a landlord's substantial control over the premises and a tenant-harasser, as would be necessary to impose liability under the Fair Housing Act (FHA) for tenant-on-tenant harassment. Civil Rights Act of 1964, § 701 et seq., [42 U.S.C.A. § 2000e et seq.](#); [24 C.F.R. § 100.7\(a\)\(iii\)](#).

[1 Case that cites this headnote](#)



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1086	Harassment; hostile environment

11 Labor and Employment

Traditional vicarious liability rules ordinarily make principals or employers vicariously liable for acts of their agents or employees in scope of their authority or employment.



231H	Labor and Employment
231HXVIII	Rights and Liabilities as to Third Parties
231HXVIII(B)	Acts of Employee
231HXVIII(B)1	In General
231Hk3044	Scope of Employment
231Hk3045	In general

12 Labor and Employment

A principal may be liable for the acts and negligence of an agent in the course of his employment, although he did not authorize or did not know of the acts complained of.



231H	Labor and Employment
231HXVIII	Rights and Liabilities as to Third Parties
231HXVIII(B)	Acts of Employee
231HXVIII(B)1	In General
231Hk3044	Scope of Employment
231Hk3049	Authority
231Hk3049(1)	In general
	
231H	Labor and Employment
231HXVIII	Rights and Liabilities as to Third Parties
231HXVIII(B)	Acts of Employee
231HXVIII(B)1	In General
231Hk3050	Notice to or knowledge of employee

13 Civil Rights

When a collective entity is involved in a claim of housing **discrimination**, the Fair Housing Act (FHA) imposes liability on the collective entity but not on its officers or owners. Civil Rights Act of 1968, § 801 et seq., [42 U.S.C.A. § 3601 et seq.](#)

[1 Case that cites this headnote](#)



78	Civil Rights
78III	Federal Remedies in General
78k1334	Persons Liable in General
78k1338	Property and housing

14 Civil Rights

Rental property manager and its broker were not vicariously liable, under the Fair Housing Act (FHA), for **discriminatory** conduct against tenants by neighboring tenant, who yelled racial slurs at tenants, threatened them, and repeatedly drove through tenants' yard; neighboring tenant did not work for property manager and was not otherwise its agent. Civil Rights Act of 1968, § 801 et seq., [42 U.S.C.A. § 3601 et seq.](#)



78	Civil Rights
78III	Federal Remedies in General
78k1334	Persons Liable in General
78k1338	Property and housing

15 Civil Rights

Rental property manager and its broker were not directly liable, under the Fair Housing Act (FHA), for **discriminatory** conduct against tenants by neighboring tenant, who yelled racial slurs at tenants, threatened them, and repeatedly drove through tenants' yard; neighboring tenant did not work for property manager, property manager and broker did not manage neighboring tenant's **rental** unit, and neighboring tenant was not property manager's tenant, such that property manager and broker did not have substantial control over neighboring tenant and his **rental** unit, and racial harassment did not constitute tenant-on-tenant harassment. Civil Rights Act of 1968, § 801 et seq., [42 U.S.C.A. § 3601 et seq.](#); [24 C.F.R. §§ 100.7\(a\)\(1\)\(ii\), 100.7\(a\)\(1\)\(iii\)](#).



78	Civil Rights
78III	Federal Remedies in General
78k1334	Persons Liable in General
78k1338	Property and housing

16 Civil Rights

Landlord was not directly liable, under provision of Fair Housing Act (FHA) governing conduct by employees or agents, or vicariously liable for **discriminatory** conduct against tenants by neighboring tenant, who yelled racial slurs at tenants, threatened them, and repeatedly drove through tenants' yard; neighboring tenant did not work for landlord and was not otherwise her agent. Civil Rights Act of 1968, § 801 et seq., [42 U.S.C.A. § 3601 et seq.](#); [24 C.F.R. § 100.7\(a\)\(1\)\(ii\)](#).



78	Civil Rights
78III	Federal Remedies in General
78k1334	Persons Liable in General
78k1338	Property and housing

17

Civil Rights

Summary Judgment

Genuine issue of material fact existed as to whether landlord knew or should have known about **discriminatory** conduct against tenants by neighboring tenant, who yelled racial slurs at tenants, threatened them, and repeatedly drove through tenants' yard, thus precluding summary judgment as to landlord's direct liability, under the Fair Housing Act (FHA), for neighboring tenant's conduct. Civil Rights Act of 1968, § 801 et seq., [42 U.S.C.A. § 3601 et seq.](#); [24 C.F.R. § 100.7\(a\)\(1\)\(iii\)](#).

	
78	Civil Rights
78III	Federal Remedies in General
78k1425	Questions of Law or Fact
78k1428	Property and housing (Formerly 170Ak2491.5)
	
368H	Summary Judgment
368HV	Particular Cases and Contexts
368Hk110	Civil and Constitutional Rights
368Hk111	In general (Formerly 170Ak2491.5)

18

Civil Rights

The Fair Housing Act (FHA) provision making it unlawful to refuse to sell or rent after the making of a bona fide offer, or to refuse to negotiate for the sale or **rental** of, or otherwise make unavailable or deny, a dwelling to any person because of that person's protected characteristic, such as race, does not reach every event that might conceivably affect the availability of housing; instead, the statute ensures that no one is denied the right to live where they choose for **discriminatory** reasons. Civil Rights Act of 1968, § 804(a), [42 U.S.C.A. § 3604\(a\)](#).

	
78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1075	In general

19 Civil Rights

To demonstrate a claim of **discrimination** in the sale or **rental** of housing under the Fair Housing Act (FHA), a plaintiff must show (1) that the defendant denied or made housing unavailable to the plaintiff, and (2) that the defendant's actions were based on the plaintiff's protected characteristic. Civil Rights Act of 1968, § 804(a), [42 U.S.C.A. § 3604\(a\)](#).

[2 Cases that cite this headnote](#)



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1075	In general

20 Civil Rights

For purposes of a claim of **discriminatory** housing practices under the Fair Housing Act (FHA), a defendant “denies or makes housing unavailable” when the defendant refuses to sell or rent or refuses to negotiate for the sale or **rental** of housing because of the plaintiff's race. Civil Rights Act of 1968, § 804(a), [42 U.S.C.A. § 3604\(a\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1075	In general

21 Civil Rights

For purposes of a claim of **discriminatory** housing practices under the Fair Housing Act (FHA), a defendant “makes housing unavailable” through **discriminatory** practices such as mortgage redlining, insurance redlining, racial steering, exclusionary zoning decisions, and other actions which directly affect the availability of housing to minorities. Civil Rights Act of 1968, § 804(a), [42 U.S.C.A. § 3604\(a\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1075	In general

[1 Case that cites this headnote](#)

22 Civil Rights

For purposes of a claim of **discriminatory** housing practices under the Fair Housing Act (FHA), a defendant “makes housing unavailable” by imposing burdensome application procedures, employing delay tactics, and using other various forms of discouragement. Civil Rights Act of 1968, § 804(a), [42 U.S.C.A. § 3604\(a\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1075	In general

23 Civil Rights

The prohibition against **discrimination** in the sale or **rental** of housing under the Fair Housing Act (FHA) generally prohibits pre-sale or pre-**rental** racially **discriminatory** conduct that inhibits a person's access to housing. Civil Rights Act of 1968, § 804(a), [42 U.S.C.A. § 3604\(a\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1075	In general

24 Civil Rights

Under the *McDonnell Douglas* burden-shifting framework, to establish a prima facie case of **discrimination** in the sale or **rental** of housing under the Fair Housing Act (FHA), a plaintiff must show that: (1) they belong to a protected class; (2) they sought and were qualified for a dwelling; (3) they were denied the opportunity to buy or rent the dwelling; and (4) the dwelling remained available. Civil Rights Act of 1968, § 804(a), [42 U.S.C.A. § 3604\(a\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1075	In general

25 Civil Rights

By requiring plaintiffs to show they were denied the opportunity to buy or rent housing, the prima facie case to demonstrate a claim of **discrimination** in the sale or **rental** of housing under the Fair Housing Act (FHA) presupposes the statutory focus on the sale or **rental** of a dwelling, not conduct beyond the point of acquisition. Civil Rights Act of 1968, § 804(a), [42 U.S.C.A. § 3604\(a\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1075	In general

26 Landlord and Tenant

Generally, a constructive eviction occurs when a landlord breaches the lease and thereby deprives his tenant of that beneficial enjoyment of the premises to which he is entitled under his lease, causing the tenant to abandon them.



233	Landlord and Tenant
233V	Enjoyment and Use of Premises
233V(K)	Constructive or Partial Eviction
233k1375	Act or Omission of Landlord
233k1377	Interference with beneficial use or enjoyment of premises

27 Landlord and Tenant

To demonstrate a constructive eviction claim, the tenant must show that he abandoned the premises within a reasonable time after the wrongful landlord acts.



233	Landlord and Tenant
233V	Enjoyment and Use of Premises
233V(K)	Constructive or Partial Eviction
233k1371	Nature of Eviction
233k1374	Necessity of abandonment by tenant

28 Landlord and Tenant

To demonstrate a constructive eviction claim, the landlord's actions must have made the plaintiff's dwelling truly unavailable.



233	Landlord and Tenant
233V	Enjoyment and Use of Premises
233V(K)	Constructive or Partial Eviction
233k1375	Act or Omission of Landlord
233k1377	Interference with beneficial use or enjoyment of premises

29 Civil Rights

Conduct that makes a dwelling truly unavailable to a tenant, in a manner analogous to constructive eviction, may demonstrate a violation of provision of Fair Housing Act (FHA) prohibiting **discrimination** in the sale or **rental** of housing. Civil Rights Act of 1968, § 804(a), [42 U.S.C.A. § 3604\(a\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1077	Lease or rental ; landlord and tenant

30 Civil Rights

Rental property manager and its broker did not make housing unavailable, within meaning of the Fair Housing Act (FHA), to tenants who were racially harassed by neighboring tenant; property manager and broker rented unit to tenants, did not prevent tenants from **moving in**, and nothing about negotiations and process of initially leasing unit indicated property manager and broker had **discriminatory** intent toward tenants. Civil Rights Act of 1968, § 804(a), [42 U.S.C.A. § 3604\(a\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1086	Harassment; hostile environment

31 Civil Rights

Rental property manager and its broker did not make housing truly unavailable to tenants, who were racially harassed by neighboring tenant, in a manner analogous to constructive eviction, as would violate the Fair Housing Act (FHA); tenants continued living in **rental** unit, property manager and broker did not commit racially harassing conduct, and they were not directly or vicariously liable for conduct by neighboring tenant. Civil Rights Act of 1968, § 804(a), [42 U.S.C.A. § 3604\(a\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1086	Harassment; hostile environment

32 Civil Rights**Summary Judgment**

Genuine issues of material fact existed as to landlord's knowledge of **discriminatory** conduct against tenants, who were racially harassed by neighboring tenant, and whether tenants unreasonably delayed in vacating premises, thus precluding summary judgment that landlord made housing truly unavailable to tenants in a manner analogous to constructive eviction, as would violate the Fair Housing Act (FHA), even though landlord was not involved in initially renting unit to tenants. Civil Rights Act of 1968, § 804(a), [42 U.S.C.A. § 3604\(a\)](#).



78	Civil Rights
78III	Federal Remedies in General
78k1425	Questions of Law or Fact
78k1428	Property and housing (Formerly 170Ak2491.5)
368H	Summary Judgment
368HV	Particular Cases and Contexts
368Hk110	Civil and Constitutional Rights
368Hk111	In general (Formerly 170Ak2491.5)

33 Civil Rights

Even if a defendant did not outright refuse the sale or **rental** of a dwelling, or outright refuse to negotiate the same, the defendant can still be found in violation of the Fair Housing Act (FHA) by having imposed **discriminatory** terms or conditions on the sale or **rental**. Civil Rights Act of 1968, § 804(b), [42 U.S.C.A. § 3604\(b\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1075	In general

34 Civil Rights

Liability under provision of Fair Housing Act (FHA) prohibiting **discrimination** in the terms, conditions, or privileges of sale or **rental** of a dwelling may arise from constructive eviction, which effectively denies a tenant the privileges of the **rental**, i.e., the privilege of inhabiting the rented dwelling. Civil Rights Act of 1968, § 804(b), [42 U.S.C.A. § 3604\(b\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1077	Lease or rental ; landlord and tenant

35 Civil Rights

To demonstrate a hostile housing environment claim under Fair Housing Act (FHA), a plaintiff must show: (1) she endured unwelcome harassment based on a protected characteristic; (2) the harassment was severe or pervasive enough to interfere with the terms, conditions, or privileges of her residency, or in the provision of services or facilities; and (3) that there is a basis for imputing liability to the defendant. Civil Rights Act of 1968, § 804(b), [42 U.S.C.A. § 3604\(b\)](#).

[1 Case that cites this headnote](#)

[78](#)

Civil Rights

[78I](#)Rights Protected and **Discrimination** Prohibited in General[78k1074](#)

Housing

[78k1086](#)

Harassment; hostile environment

36 Civil Rights

Rental property manager and its broker did not **discriminate** against tenants, who vacated **rental** unit after they were racially harassed by neighboring tenant, in the terms, conditions, or privileges of **rental**, within meaning of the Fair Housing Act (FHA); lease did not include **discriminatory** terms or conditions, tenants were not denied services, maintenance, or repairs because of their race, and property manager and broker were not responsible for constructive eviction caused by neighboring tenant. Civil Rights Act of 1968, § 804(b), [42 U.S.C.A. § 3604\(b\)](#).

[78](#)

Civil Rights

[78I](#)Rights Protected and **Discrimination** Prohibited in General[78k1074](#)

Housing

[78k1086](#)

Harassment; hostile environment

37 Civil Rights

Rental property manager and its broker were not liable under the Fair Housing Act (FHA) for allegedly hostile housing environment created by neighboring tenant's racial harassment of tenants, where there was no basis for imputing liability to property manager and broker for neighboring tenant's conduct. Civil Rights Act of 1968, § 804(b), [42 U.S.C.A. § 3604\(b\)](#).



78	Civil Rights
78III	Federal Remedies in General
78k1334	Persons Liable in General
78k1338	Property and housing

38 Civil Rights**Summary Judgment**

Genuine issues of material fact existed as to whether conduct of neighboring tenant, who racially harassed tenants, could be imputed to landlord, thus precluding summary judgment as to tenants' hostile housing environment claim against landlord pursuant to the Fair Housing Act (FHA). Civil Rights Act of 1968, § 804(b), [42 U.S.C.A. § 3604\(b\)](#).



78	Civil Rights
78III	Federal Remedies in General
78k1425	Questions of Law or Fact
78k1428	Property and housing (Formerly 170Ak2491.5)



368H	Summary Judgment
368HV	Particular Cases and Contexts
368Hk110	Civil and Constitutional Rights
368Hk111	In general (Formerly 170Ak2491.5)

39 Civil Rights

To establish liability under the provision of the Fair Housing Act (FHA) prohibiting **discriminatory** statements with respect to the **rental** of a dwelling, a plaintiff must show that: (1) the defendant made a statement; (2) the defendant's statement concerned the sale or **rental** of a dwelling; and (3) the defendant's statement indicated a preference, limitation, or **discrimination** on the basis of a protected status. Civil Rights Act of 1968, § 804(c), [42 U.S.C.A. § 3604\(c\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1077	Lease or rental ; landlord and tenant

40 Civil Rights

To determine whether a written or oral statement with respect to the sale or **rental** of a dwelling indicates a preference, limitation, or **discrimination** on the basis of race, in violation of the Fair Housing Act (FHA), a court uses an ordinary reader or ordinary listener standard. Civil Rights Act of 1968, § 804(c), [42 U.S.C.A. § 3604\(c\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1075	In general

41 Civil Rights

In determining whether a statement with respect to the sale or **rental** of a dwelling indicates a preference, limitation, or **discrimination** on the basis of race, in violation of the Fair Housing Act (FHA), evidence of a speaker's subjective motivation for the statement is unnecessary. Civil Rights Act of 1968, § 804(c), [42 U.S.C.A. § 3604\(c\)](#).



78	Civil Rights
78III	Federal Remedies in General
78k1416	Weight and Sufficiency of Evidence
78k1419	Property and housing

42 Civil Rights

There was no evidence that landlord, property manager, or property manager's broker made any oral or written **discriminatory** statement indicating a racial preference concerning who could rent tenants' unit, as would be required to support claim under provision of the Fair Housing Act (FHA) prohibiting such statements, in action brought by tenants against landlord, property manager, and broker for allegedly **discriminatory** housing practices. Civil Rights Act of 1968, § 804(c), [42 U.S.C.A. § 3604\(c\)](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1077	Lease or rental ; landlord and tenant

43 Civil Rights

To show a violation of the anti-retaliation provision of the Fair Housing Act (FHA), a plaintiff need not show a violation of the underlying FHA provisions. Civil Rights Act of 1968, § 817, [42 U.S.C.A. § 3617](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1085	Interference, coercion, or intimidation; retaliation

44 Civil Rights

A retaliation claim under the Fair Housing Act (FHA) may arise before or after a plaintiff acquires housing. Civil Rights Act of 1968, § 817, [42 U.S.C.A. § 3617](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1085	Interference, coercion, or intimidation; retaliation

45 Civil Rights

To demonstrate a retaliation claim under the Fair Housing Act (FHA), a plaintiff must show that: (1) she was engaged in protected activity; (2) the defendant was aware of that activity; (3) the defendant took adverse action against her; and (4) a causal connection existed between the protected activity and the asserted adverse action. Civil Rights Act of 1968, § 817, [42 U.S.C.A. § 3617](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1085	Interference, coercion, or intimidation; retaliation

[1 Case that cites this headnote](#)

46 Civil Rights

Claims under the anti-retaliation provision of the Fair Housing Act (FHA) are based, at least in part, on an intent to **discriminate**. Civil Rights Act of 1968, § 817, [42 U.S.C.A. § 3617](#).



78	Civil Rights
78I	Rights Protected and Discrimination Prohibited in General
78k1074	Housing
78k1085	Interference, coercion, or intimidation; retaliation

47 Civil Rights**Summary Judgment**

Genuine issues of material fact existed as to what tenants, who vacated premises after they were racially harassed by neighboring tenant, reported to property manager and its broker, what property manager and broker reported to landlord, and who knew what when, precluding summary judgment as to tenants' retaliation claims pursuant to the Fair Housing Act's (FHA) anti-retaliation provision. Civil Rights Act of 1968, § 817, [42 U.S.C.A. § 3617](#).



78	Civil Rights
78III	Federal Remedies in General
78k1425	Questions of Law or Fact
78k1428	Property and housing (Formerly 170Ak2491.5)
368H	Summary Judgment
368HV	Particular Cases and Contexts
368Hk110	Civil and Constitutional Rights
368Hk111	In general (Formerly 170Ak2491.5)

48 Landlord and Tenant

There was no evidence of conduct by landlord, property manager, and property manager's broker that breached implied covenant of quiet enjoyment with tenants, who were racially harassed by neighboring tenant, and thus, tenants could not prevail on claims against landlord, property manager, and broker for breach of covenant of quiet enjoyment under North Carolina law.



233	Landlord and Tenant
233V	Enjoyment and Use of Premises
233V(C)	Possession
233k1072	Right of Quiet Enjoyment
233k1073	In general

49 Landlord and Tenant

Under North Carolina law, leases contain an implied covenant of quiet enjoyment.



233	Landlord and Tenant
233V	Enjoyment and Use of Premises
233V(C)	Possession
233k1072	Right of Quiet Enjoyment
233k1075	Express and implied covenants

50 Landlord and Tenant

The implied covenant of quiet enjoyment contained in leases does not extend to acts of trespassers and wrongdoers.



233	Landlord and Tenant
233V	Enjoyment and Use of Premises
233V(C)	Possession
233k1072	Right of Quiet Enjoyment
233k1075	Express and implied covenants

51 Landlord and Tenant

Landlord, property manager, and property manager's broker did not attempt to evict tenants based on tenants' stalking charges against neighboring tenant, thus precluding tenants' wrongful eviction claim against them under North Carolina law; eviction proceedings against tenants had already been initiated and dismissed with prejudice by the time tenants filed stalking charges against neighboring tenant, tenants had already been told their lease would not be renewed, and tenants never provided landlord, property manager, or broker with any police records or files related to alleged stalking. [N.C. Gen. Stat. Ann. § 42-42.2](#).

233	Landlord and Tenant
233VIII	Reentry and Recovery of Possession by Landlord
233VIII(E)	Wrongful Dispossession
233k1812	Grounds
233k1815	Retaliatory eviction

52 Landlord and Tenant

There was no evidence that landlord, property manager, and property manager's broker failed to maintain physical condition of property rented by tenants, as would be required to support claim for failure to maintain safe premises under North Carolina law, in action brought by tenants against landlord, property manager, and broker for allegedly **discriminatory** housing practices related to racial harassment of tenants by neighboring tenant. [N.C. Gen. Stat. Ann. § 42-42\(a\)\(3\)](#).

233	Landlord and Tenant
233V	Enjoyment and Use of Premises
233V(J)	Liability for Dangerous or Defective Conditions
233V(J)3	Standard of Care
233k1253	Reasonably safe or unreasonably dangerous conditions

53 Landlord and Tenant

Under North Carolina law, the duty of a landlord to maintain safe premises focuses on a landlord's duty to keep the physical property in good repair.

233	Landlord and Tenant
233V	Enjoyment and Use of Premises
233V(J)	Liability for Dangerous or Defective Conditions
233V(J)3	Standard of Care
233k1253	Reasonably safe or unreasonably dangerous conditions

54 Negligence

Under North Carolina law, a business owner may be liable for the reasonably foreseeable accidental, negligent, or intentionally harmful acts of third persons toward the owners' invitees.



272	Negligence
272XVII	Premises Liability
272XVII(D)	Breach of Duty
272k1160	Protection Against Acts of Third Persons
272k1162	Store and business proprietors

55 Negligence

Under North Carolina law, a business owner may be liable for injuries caused by reasonably foreseeable, intentional, criminal acts committed by third persons.



272	Negligence
272XVII	Premises Liability
272XVII(I)	Proximate Cause
272k1242	Intervening and superseding causes

56 Negligence

For purposes of a business owner's liability for third-party actions under North Carolina law, the conduct of third persons is reasonably foreseeable if the owner knows or has reason to know, from past experience, that there is a likelihood of conduct on the part of third persons in general which is likely to endanger the safety of the visitor.



272	Negligence
272XVII	Premises Liability
272XVII(B)	Necessity and Existence of Duty
272k1021	Duty of Store and Business Proprietors
272k1024	Protection against acts of third persons

57 Landlord and Tenant

Under North Carolina law, in a landlord-tenant relationship, a tenant is normally seen as an invitee for purposes of landlord liability for actions of third parties.



233	Landlord and Tenant
233V	Enjoyment and Use of Premises
233V(J)	Liability for Dangerous or Defective Conditions
233V(J)2	Existence of Duty of Care
233k1221	Landlord's Duty
233k1231	Protection against acts of third persons

58 Summary Judgment Torts Genuine issues of material fact existed as to whether racial harassment of tenants by neighboring tenant was reasonably foreseeable, precluding summary judgment as to tenants' trespass, assault, and invasion of privacy claims, under North Carolina law, against landlord, property manager, and property manager's broker.		368H Summary Judgment
		368HV Particular Cases and Contexts
		368Hk189 Landlord and Tenant
		368Hk194 Torts; premises liability (Formerly 170Ak2505)
		368H Summary Judgment
		368HV Particular Cases and Contexts
		368Hk227 Records, Disclosure, and Privacy
		368Hk228 In general (Formerly 170Ak2515)
		379 Torts
		379IV Privacy and Publicity
		379IV(B) Privacy
		379IV(B)5 Questions of Law or Fact
		379k375 In general (Formerly 170Ak2515)

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ORDER

[JAMES C. DEVER III](#), United States District Judge

On August 9, 2019, William and Phyllis Harris (the "Harrises" or "plaintiffs") filed suit against Mary Jane Vanderburg ("Vanderburg"), Douglas Matthew Gurkins ("Gurkins"), Remco East, Inc. ("Remco"), and Mary Grace Bishop ("Bishop") (collectively, "defendants") alleging claims under the Fair Housing Act ("FHA"), [42 U.S.C. §§ 3601, et seq.](#), and state law [D.E. 1, 33]. On March 15, 2021, Vanderburg moved for summary judgment [D.E. 94] and filed a memorandum and other documents in support [D.E. 95, 96]. The same day, Remco and Bishop moved for summary judgment [D.E. 98] and filed a memorandum and documents in support [D.E. 99, 100]. On April 28, 2021, the Harrises responded in opposition to both motions for summary judgment and filed documents in support [D.E. 106 through 113]. On June 23, 2021, Vanderburg, Remco, and Bishop replied [D.E. 124, 125]. On June 30, 2021, the Harrises moved for leave to file a combined surreply [D.E. 126]. As explained below, the court grants in part Remco and Bishop's motion for summary judgment, grants in part Vanderburg's motion for summary judgment, and denies as moot the Harrises' motion for leave to file a combined surreply.

I.

In the 1980s, Vanderburg and her husband built several **rental** properties along Huntingridge Road in Greenville, North Carolina, including 559 Huntingridge Road. See [D.E. 96] ¶¶ 1–2; [D.E. 113] 1. 559 Huntingridge Road is a duplex with two units: 559A and 559B. See [D.E. 96] ¶ 2; [D.E. 113] 2. In 2016, after the death of her husband, Vanderburg hired Remco, a property management company, to manage some of her properties. See [D.E. 96] ¶ 5. Remco began to manage the 559B unit in 2017. See [D.E. 96] ¶ 5; [D.E. 99] ¶ 3; [D.E. 113] 9. During the relevant time period in this case, Remco did not manage the 559A unit. See [D.E. 96] ¶ 5; [D.E. 99] ¶ 3; [D.E. 113] 2–3; [D.E. 24-1] 9. Remco's ***90** duties included leasing and maintaining Vanderburg's properties. See [D.E. 96] ¶ 6; [D.E. 113] 3.

In February 2017, the Harrises signed a lease with Remco to rent the 559B unit. See [D.E. 96] ¶ 7; [D.E. 99] ¶ 4; [D.E. 99-2]; [D.E. 113] 4; [D.E. 108-1] 30–34. Bishop was the broker in charge at Remco during the Harrises' tenancy. See [D.E. 96] ¶ 10; [D.E. 113] 4. Although Vanderburg owned the property, the Harrises understood they were renting from Remco. See [D.E. 96] ¶ 8; [D.E. 113] 4. When the Harrises **moved in** to 559B, Gurkins, who is Vanderburg's nephew, was living in the 559A unit See [D.E. 96] ¶ 9; [D.E. 113] 4. Because Remco did not manage the 559A unit, Gurkins was not one of Remco's tenants.

After the Harrises **moved in**, Gurkins began harassing the Harrises, including yelling racial slurs at them, threatening them, and repeatedly driving through the Harrises' front yard. See Compl. [D.E. 1] ¶¶ 26–42; [D.E. 114]. The Harrises also suspect Gurkins broke a light on their porch and damaged their cars. In response, the Harrises contacted Bishop and Remco multiple times, seeking help. See [D.E. 108-1] 86–90, 94–102. Bishop repeatedly advised the Harrises to call the police but otherwise did not intervene. See [D.E. 107-3] 11–12. The Harrises called the police, filed several reports against Gurkins, filed criminal charges against him,¹ and sought and obtained a temporary restraining order. See [D.E. 108-1] 69–84, 92–93, 184–94, 199–202. At the same time, Gurkins complained to Vanderburg that the Harrises were creating disturbances at the duplex. See id. at 87, 135; Vanderburg Aff. [D.E. 96-2] ¶¶ 11–12. On September 26, 2017, at Vanderburg's urging, Remco initiated eviction proceedings against the Harrises because of the Harrises' supposed "failure to maintain a peaceful environment so as not to disturb other tenants' peaceful enjoyment of the Premises." [D.E. 99-3]. On October 10, 2017, the Pitt County District Court dismissed the eviction proceedings with prejudice. See [D.E. 99-4].

As the situation deteriorated, the Harrises attempted to terminate their lease. On October 18, 2017, the Harrises sent a letter to Remco asking for a refund of half the rent they had paid and early termination of the lease. See [D.E. 108-1] 145. Vanderburg refused, and Remco responded declining the Harrises' offer and stating the Harrises' lease would not be renewed. See id. at 147. On November 1, 2017, the Harrises, through counsel, renewed their request, asking instead for a full refund. See id. at 152–53. The same day, after consulting with Vanderburg, Remco responded that it would refund half the rent if the Harrises moved out by November 30, 2017. See id. at 156. The Harrises did not accept that offer. On December 29, 2017, the Harrises notified Remco that they would vacate the 559B unit within 30 days. See id. at 164–65. The Harrises moved out on January 29, 2018. See id. at 170–74. After the Harrises moved out, Remco refunded their \$550 security deposit. See id. at 178–79.

On August 9, 2019, the Harrises filed suit against Vanderburg, Gurkins, Remco, and Bishop, alleging claims under the Fair Housing Act and state law. See [D.E. 1, 33]. On March 15, 2021, Vanderburg, Remco, ***91** and Bishop moved for summary judgment. See [D.E. 94, 98]. The Harrises oppose the motions. See [D.E. 110, 112].

II.

Summary judgment is appropriate when, after reviewing the record as a whole, the court determines that no genuine issue of material fact exists and the moving party is entitled to judgment as a matter of law. See *Fed. R. Civ. P. 56(a)*; *Scott v. Harris*, 550 U.S. 372, 378, 380, 127 S.Ct. 1769, 167 L.Ed.2d 686 (2007); *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 247–48, 106 S.Ct. 2505, 91 L.Ed.2d 202 (1986). The party seeking summary judgment must initially demonstrate the absence of a genuine issue of material fact or the

absence of evidence to support the nonmoving party's case. See [Celotex Corp. v. Catrett](#), 477 U.S. 317, 325, 106 S.Ct. 2548, 91 L.Ed.2d 265 (1986). Once the moving party has met its burden, the nonmoving party may not rest on the allegations or denials in its pleading, see [Anderson](#), 477 U.S. at 248–49, 106 S.Ct. 2505, but “must come forward with specific facts showing that there is a genuine issue for trial.” [Matsushita Elec. Indus. Co. v. Zenith Radio Corp.](#), 475 U.S. 574, 587, 106 S.Ct. 1348, 89 L.Ed.2d 538 (1986) (emphasis and quotation omitted). A trial court reviewing a motion for summary judgment should determine whether a genuine issue of material fact exists for trial. See [Anderson](#), 477 U.S. at 249, 106 S.Ct. 2505. In making this determination, the court must view the evidence and the inferences drawn therefrom in the light most favorable to the nonmoving party. See [Harris](#), 550 U.S. at 378, 127 S.Ct. 1769.

1 A genuine issue of material fact exists if there is sufficient evidence favoring the nonmoving party for a jury to return a verdict for that party. See [Anderson](#), 477 U.S. at 249, 106 S.Ct. 2505. “The mere existence of a scintilla of evidence in support of the plaintiff's position [is] insufficient....” [Id.](#) at 252, 106 S.Ct. 2505; see [Beale v. Hardy](#), 769 F.2d 213, 214 (4th Cir. 1985) (“The nonmoving party, however, cannot create a genuine issue of material fact through mere speculation or the building of one inference upon another.”). Only factual disputes that affect the outcome under substantive law properly preclude summary judgment. See [Anderson](#), 477 U.S. at 248, 106 S.Ct. 2505.

The Harrises allege that Vanderburg, Remco, and Bishop violated multiple sections of the Fair Housing Act—namely, 42 U.S.C. §§ 3604(a)–(c) and 3617. In seeking summary judgment, Vanderburg, Remco, and Bishop do not dispute that Gurkins racially harassed the Harrises. Instead, they focus on whether they violated the FHA or bear any civil liability under the FHA for Gurkins's conduct. Vanderburg, Remco, and Bishop argue they are not liable and are entitled to summary judgment on the Harrises' FHA claims either because the record does not demonstrate any violations of the Fair Housing Act under the provisions alleged or because Vanderburg, Remco, and Bishop are not directly or vicariously liable for Gurkins's conduct. The Harrises disagree.

2 3 4 “A plaintiff may establish a violation of the FHA either through direct evidence of **discrimination**,” circumstantial evidence, or the [McDonnell Douglas](#) burden-shifting framework. [Martin v. Brondum](#), 535 F. App'x 242, 244 (4th Cir. 2013) (per curiam) (unpublished); see [McDonnell Douglas Corp. v. Green](#), 411 U.S. 792, 802, 93 S.Ct. 1817, 36 L.Ed.2d 668 (1973); [Corey v. Secretary, U.S. Dep't. Hous. & Urb. Dev.](#), 719 F.3d 322, 325 (4th Cir. 2013); [Pinchback v. Armistead Homes Corp.](#), 907 F.2d 1447, 1451 (4th Cir. 1990). Direct evidence includes “conduct or statements that both (1) reflect directly the alleged ***92 discriminatory** attitude, and (2) bear directly on the contested [housing] decision.” [Martin](#), 535 F. App'x at 244 (quotation omitted); see [Laing v. Fed. Express Corp.](#), 703 F.3d 713, 717 (4th Cir. 2013). As for their claims under section 3604(a)–(c), the Harrises do not rely on the [McDonnell Douglas](#) framework but instead make a disparate-treatment claim based on circumstantial evidence. See [D.E. 110] 21. In a disparate-treatment claim, “a plaintiff must establish that the defendant had a **discriminatory** intent or motive.” [Texas Dep't of Housing & Cmty. Affairs v. Inclusive Cmty. Project, Inc.](#), 576 U.S. 519, 524, 135 S.Ct. 2507, 192 L.Ed.2d 514 (2015) (quotation omitted); [Ricci v. DeStefano](#), 557 U.S. 557, 577, 129 S.Ct. 2658, 174 L.Ed.2d 490 (2009); [Wadley v. Park at Landmark, LP](#), 264 F. App'x 279, 281 (4th Cir. 2008) (per curiam) (unpublished); [Betsey v. Turtle Creek Assocs.](#), 736 F.2d 983, 986 (4th Cir. 1984). As for their claim under section 3617, the Harrises rely on the [McDonnell Douglas](#) framework. See [D.E. 110] 24–26; [D.E. 112] 19–22.

A.

Initially, the court must determine whether Vanderburg, Remco, and Bishop bear any responsibility for Gurkins's conduct before examining whether any defendant's conduct violated the FHA. The Harrises contend that Vanderburg, Remco, and Bishop are either directly liable for failing to intervene to stop Gurkins's conduct or are vicariously liable for Gurkins's conduct. See [D.E. 110] 7–9; [D.E. 112] 7–9. Vanderburg, Remco, and Bishop disagree. See [D.E. 95] 17–18; [D.E. 100] 7–8.

5 The FHA creates a statutory tort action, and the FHA incorporates the “legal background of ordinary tort-related vicarious liability rules.” [Meyer v. Holley](#), 537 U.S. 280, 285, 123 S.Ct. 824, 154 L.Ed.2d 753 (2003). As for direct liability, the Department of Housing and Urban Development (“HUD”) has promulgated regulations interpreting the FHA. These regulations took effect in October 2016, and the Fourth Circuit has not addressed them. The court assumes without deciding that these regulations are entitled to [Chevron](#) deference in FHA cases. *See* [Brown v. Pfeiffer](#), No. 19-cv-3132(WMW/KMM), 2020 WL 6146614, at *3 (D. Minn. Oct. 20, 2020) (unpublished); [A.L.M. ex rel. Moore v. Bd. of Managers of Vireum Schoolhouse Condo.](#), No. 17-cv-07385 (NSR), 2019 WL 3532178, at *7 n.7 (S.D.N.Y. Aug. 2, 2019) (unpublished), *aff’d*, 2021 WL 5121137 (2d Cir. 2021); *see also* [Meyer](#), 537 U.S. at 287–88, 123 S.Ct. 824; [Chevron, U.S.A., Inc. v. Nat. Res. Def. Council](#), 467 U.S. 837, 842–45, 104 S.Ct. 2778, 81 L.Ed.2d 694 (1984); [Skidmore v. Swift & Co.](#), 323 U.S. 134, 140, 65 S.Ct. 161, 89 L.Ed. 124 (1944). No defendant has argued that the regulations are not entitled to [Chevron](#) deference.² And “[t]he Supreme Court has nonetheless recognized that HUD’s views about the meaning of the FHA are entitled to ‘great weight.’” [Bloch v. Frischholz](#), 587 F.3d 771, 781 (7th Cir. 2009) (en banc) (quoting [Trafficante v. Metro. Life Ins. Co.](#), 409 U.S. 205, 210, 93 S.Ct. 364, 34 L.Ed.2d 415 (1972)); [Fair Hous. Ctr. of Central Ind., Inc. v. New](#), No. 1:20-cv-01176-TWP-DLP, 2021 WL 5988397, at *12 (S.D. Ind. Dec. 17, 2021) (unpublished).

One regulation makes a person directly liable for “[f]ailing to take prompt action to correct and end a **discriminatory** housing practice by that person’s employee or agent, where the person knew or should have known of the **discriminatory** conduct.” [24 C.F.R. § 100.7\(a\)\(1\)\(ii\)](#); *cf.* [Restatement \(Second\) of Agency § 94](#) (Am. Law Inst. 1958); [Restatement \(Second\) Torts § 284\(b\)](#) (Am. Law Inst. 1965). HUD also interprets the FHA to make a person directly liable for “[f]ailing to take prompt action to correct and end a **discriminatory** housing practice by a third-party, where the person knew or should have known of the **discriminatory** conduct and had the power to correct it. The power to take prompt action to correct and end a **discriminatory** housing practice by a third-party depends on the extent of the person’s control or any other legal responsibility the person may have with respect to the conduct of such third-party.” [24 C.F.R. § 100.7\(a\)\(1\)\(iii\)](#). [Section 100.7\(a\)\(iii\)](#) extends the (a)(ii) liability to the acts of third parties in the context of quid pro quo or hostile environment harassment “if the housing provider has the power to correct the [third party’s] **discriminatory** conduct.” [Brown](#), 2020 WL 6146614, at *3 (quotation omitted); *cf.* [Neudecker v. Boisclair Corp.](#), 351 F.3d 361, 364–65 (8th Cir. 2003); [Henson v. City of Dundee](#), 682 F.2d 897, 910 (11th Cir. 1982).

6 7 8 “HUD’s rule [in [section 100.7\(a\)\(iii\)](#)] mirrors the scope of employer liability under Title VII for employee-on-employee harassment.” [Wetzel v. Glen St. Andrew Living Cmty.](#), 901 F.3d 856, 866 (7th Cir. 2018), *cert. denied*, — U.S. —, 139 S. Ct. 1249, 203 L.Ed.2d 269 (2019). But even though Title VII and the FHA have similar “anti-**discrimination** objectives,” [Smith v. Town of Clarkton](#), 682 F.2d 1055, 1065 (4th Cir. 1982), “salient differences” exist between them. [Wetzel](#), 901 F.3d at 866. The employer-employee relationship is different than the landlord-tenant relationship. The employer-employee relationship is a recognized agency relationship, but the landlord-tenant relationship is not. *See, e.g.*, [Midland Oil Co. v. Thigpen](#), 4 F.2d 85, 91 (8th Cir. 1924); [Ohio Civ. Rights Comm. v. Akron Metro Hous. Auth.](#), 119 Ohio St.3d 77, 81–82, 892 N.E.2d 415, 419–20 (2008). Landlords and tenants generally operate in an “arms-length relationship.” [Francis v. Kings Park Manor, Inc.](#), 992 F.3d 67, 75 (2d Cir. 2021) (en banc). Thus, “landlords typically do not, and therefore cannot be presumed to, exercise the degree of control over tenants that would be necessary to impose liability under the FHA for tenant-on-tenant harassment” [Id.](#) at 70.

Under [section 100.7\(a\)\(iii\)](#), a person is liable to “the extent of person’s control or other legal responsibility” for the third party’s conduct. That phrase requires the defendant to have some relationship to the third party that empowers a defendant to stop the **discriminatory** conduct. For typical principal-agent relationships, this rule comports with “ordinary vicarious liability rules,” [Meyer](#), 537 U.S. at 287–88, 123 S.Ct. 824, given that ordinarily “there is a breach of the landlord’s obligations if, during the period the tenant is entitled to possession of the leased property, the landlord, or someone whose conduct is attributable to him,

interferes with a permissible use of the leased property by the tenant" [Restatement \(Second\) of Property: Landlord & Tenant § 6.1 \(Am. Law Inst. 1977\)](#) (emphasis added).

9 10 But [section 100.7\(a\)\(iii\)](#) purports to go farther, given that (a)(ii) already covers direct liability for failure to act in typical agency relationships. [Compare 24 C.F.R. § 100.7\(a\)\(ii\) with id. § 100.7\(a\)\(iii\)](#). In light of the differences between the employer-employee and landlord-tenant relationships, while still giving "great weight" to HUD's regulation, liability for third-party conduct outside of a formal agency relationship exists only if the landlord has "substantial control over the context in which the harassment occurs and *94 over the harasser." [Francis, 992 F.3d at 75, 77 n.40](#); [see, e.g., Wetzel, 901 F.3d at 860–65](#) (liability for tenant-on-tenant harassment when landlord had the ability to change tenants' dining room assignments, deny access to common areas listed in the lease, deny access to cleaning services, and ability to enter apartments without notice). In such a case, "[t]he typical powers of a landlord over a tenant—such as the power to evict"—does not suffice to establish a landlord's substantial control over the premises and the harasser. [See Francis, 992 F.3d at 75](#). Stated differently, a mine-run landlord-tenant relationship will not suffice for liability under [section 100.7\(a\)\(iii\)](#).

11 12 13 As for vicarious liability, ordinary principles of vicarious liability apply under the FHA. [See 24 C.F.R. § 100.7\(b\)](#); [Meyer, 537 U.S. at 287–88, 123 S.Ct. 824](#). "[T]raditional vicarious liability rules ordinarily make principals or employers vicariously liable for the acts of their agents or employees in the scope of their authority or employment." [Meyer, 537 U.S. at 285, 123 S.Ct. 824](#) (quotation omitted); [see Burlington Indus., Inc. v. Ellerth, 524 U.S. 742, 756, 118 S.Ct. 2257, 141 L.Ed.2d 633 \(1998\)](#). Moreover, a principal may be liable "for the acts and negligence of the agent in the course of his employment, although he did not authorize or did not know of the acts complained of." [Meyer, 537 U.S. at 285–86, 123 S.Ct. 824](#) (quotation omitted); [see R.R. Co. v. Hanning, 82 U.S. 649, 657, 15 Wall. 649, 21 L.Ed. 220 \(1872\)](#); [United States v. Pfeiffer, No. 20-cv-1974 \(WMW/KMM\), 2021 WL 2529948, at *6 \(D. Minn. June 21, 2021\)](#) (unpublished). When a collective entity is involved, the FHA imposes liability on the collective entity but not on its officers or owners. [See Meyer, 537 U.S. at 285–86, 123 S.Ct. 824](#); [Wetzel, 901 F.3d at 864–65](#).

14 15 Remco and Bishop are not directly liable under [section 100.7\(a\)\(1\)\(ii\)](#) or vicariously liable for Gurkins's conduct. Gurkins did not work for Remco and was not otherwise Remco's agent. [See \[D.E. 99\] ¶ 8](#); [\[D.E. 111\] 4](#). And assuming Bishop as the broker in charge was one of Remco's officers, she is even further removed than Remco from any vicarious liability for Gurkins's conduct. [See Meyer, 537 U.S. at 285–86, 123 S.Ct. 824](#); [Wetzel, 901 F.3d at 864–65](#). Moreover, Remco and Bishop are not directly liable under [section 100.7\(a\)\(1\)\(iii\)](#) for Gurkins's conduct. Remco and Bishop did not manage the 559A unit for Vanderburg, and Gurkins was not Remco's tenant. [See \[D.E. 99\] ¶¶ 5–7](#); [\[D.E. 111\] 2–4](#). Thus, Remco and Bishop did not have the substantial control over Gurkins and the 559A unit necessary to establish liability under [section 100.7\(a\)\(1\)\(iii\)](#). Moreover, to the extent [section 100.7\(a\)\(1\)\(iii\)](#) primarily focuses on tenant-on-tenant harassment, Gurkins's racial harassment of the Harrises was not tenant-on-tenant harassment as to Remco and Bishop because Gurkins was not Remco's tenant. Furthermore, even if Remco and Bishop had terminated their relationship with Vanderburg and stopped managing the 559B unit, that would not have changed the Harrises' living situation and would not have prevented Gurkins's conduct.

16 17 As for Vanderburg, she is not directly liable under [section 100.7\(a\)\(1\)\(ii\)](#) or vicariously liable for Gurkins's conduct. Gurkins did not work for Vanderburg and nothing indicates Gurkins was otherwise Vanderburg's agent. [See \[D.E. 96\] ¶¶ 41–43](#); [\[D.E. 114\] 24–28](#).³ However, Vanderburg *95 may be directly liable for Gurkins's conduct under [section 100.7\(a\)\(1\)\(iii\)](#). Vanderburg managed the 559A unit herself and allowed Gurkins to live there without a lease and essentially rent free. [See Vanderburg Depo. \[D.E. 107-1\] 12–13](#). At most, Gurkins was a tenant at will. [See, e.g., Kent v. Humphries, 303 N.C. 675, 678–79, 281 S.E.2d 43, 45–46 \(1981\)](#); [Restatement \(Second\) Property: Landlord & Tenant § 1.6](#). Moreover, Vanderburg had substantial control over Gurkins as a tenant. She testified that if she had told Gurkins to move out of 559A and to **move in** with her or move

somewhere else, Gurkins likely would have obeyed her directive. See Vanderburg Depo. [D.E. 107-1] 26.

Whether Vanderburg is entitled to summary judgment depends on whether she knew or should have known of Gurkins's racial harassment. The Harrises never directly told Vanderburg about Gurkins's racial harassment. See Vanderburg Aff. ¶¶ 15–20; P. Harris Depo. [D.E. 107-8] 29–30; W. Harris Depo. [D.E. 107-9] 17. And Vanderburg claims that Remco and Bishop never told her about Gurkins using racial slurs. See Vanderburg Aff. ¶ 21. Even if Remco and Bishop did not tell Vanderburg, their knowledge as Vanderburg's agents may be imputed to Vanderburg. See Restatement (Second) Agency §§ 275–77. However, Bishop maintains that the Harrises never told her about Gurkins using racial slurs. See Bishop Depo. [D.E. 107-3] 15. The Harrises say that they told Bishop and other Remco employees about Gurkins's racial harassment. See, e.g., P. Harris Decl. [D.E. 107-22] ¶ 14. Accordingly, a genuine issue of material fact exists concerning who knew what, and when, for purposes of determining whether Vanderburg knew or should have known (or is presumed to have known if Remco and Bishop's knowledge is imputed to her) about Gurkins's racial harassment.

B.

18 Vanderburg, Remco, and Bishop first argue they are entitled to summary judgment on the Harrises' claim that Vanderburg, Remco, and Bishop violated section 3604(a) of the FHA. See [D.E. 95] 12–13; [D.E. 100] 10–13. [Section 3604\(a\)](#) makes it unlawful “[t]o refuse to sell or rent after the making of a bona fide offer, or to refuse to negotiate for the sale or **rental** of, or otherwise make unavailable or deny, a dwelling to any person because of” that persons's protected characteristic, such as race. [42 U.S.C. § 3604\(a\)](#). The provision “does not reach every event that might conceivably affect the availability of housing.” [Jersey Heights Neighborhood Ass'n v. Glendening](#), 174 F.3d 180, 192 (4th Cir. 1999) (quotation omitted). Instead, the statute “ensure[s] that no one is denied the right to live where they choose for **discriminatory** reasons.” Id. (quotation omitted); see [Southend Neighborhood Improvement Ass'n v. Cnty. of St. Clair](#), 743 F.2d 1207, 1210 (7th Cir. 1984).

19 20 21 22 To demonstrate a [section 3604\(a\)](#) claim, a plaintiff must show (1) that the defendant “denied or made housing unavailable to” the plaintiff, ***96** and (2) that the defendant's actions were based on the plaintiff's protected characteristic. [Edwards v. Johnston Cnty. Health Dep't](#), 885 F.2d 1215, 1221 (4th Cir. 1989). A defendant denies or makes housing unavailable when the defendant “refuse[s] to sell or rent” or “refuse[s] to negotiate for the sale or **rental**” of housing because of the plaintiff's race. [42 U.S.C. § 3604\(a\)](#). A defendant also makes housing unavailable through **discriminatory** practices such as “mortgage ‘redlining,’ insurance redlining, racial steering, exclusionary zoning decisions, and other actions ... which directly affect the availability of housing to minorities.” [Southend Neighborhood](#), 743 F.2d at 1209; see [Bloch](#), 587 F.3d at 777. A defendant also makes housing unavailable by imposing “burdensome application procedures,” employing delay tactics, and using other “various forms of discouragement.” [Corey](#), 719 F.3d at 326 (quotation omitted); see [Williams v. Matthews Co.](#), 499 F.2d 819, 825–26 (8th Cir. 1974); [United States v. Youritan Constr. Co.](#), 370 F. Supp. 643, 648 (N.D. Cal. 1973), aff'd in relevant part, 509 F.2d 623 (9th Cir. 1975).

23 [Section 3604\(a\)](#) generally prohibits pre-sale or pre-rental racially **discriminatory** conduct that inhibits a person's access to housing. See [Cox v. City of Dallas](#), 430 F.3d 734, 741–43 (5th Cir. 2005); [Halprin v. Prairie Single Family Homes of Dearborn Park Ass'n \(Halprin II\)](#), 388 F.3d 327, 329 (7th Cir. 2004) (“The Fair Housing Act contains no hint either in its language or its legislative history of a concern with anything but access to housing.”), modified, [Bloch](#), 587 F.3d at 776–77; [Jersey Heights](#), 174 F.3d at 192 (noting the challenged action was too remote to the housing interests the FHA protects in part because the plaintiff did “not allege that anyone has for **discriminatory** reasons been evicted from his home or denied the right to purchase or rent housing”); [Soules v. U.S. Dep't Hous. & Urb. Dev.](#), 967 F.2d 817, 822 (2d Cir. 1992) (noting [section 3604\(a\)](#) relates to “**discriminatory** housing refusal”); [Heights Cmty. Congress v. Hilltop Realty, Inc.](#), 774 F.2d 135, 140 (6th Cir. 1985) (“[T]o violate [§ 3604\(a\)](#), one looks to whether the statement or conduct would have an untoward effect on a reasonable person seeking housing, and

behind the statement or conduct to the intent of the agent.” (emphasis added)); [Tigress Sydney Acute McDaniel v. VTT Mgmt. Inc.](#), No. 3:16-cv-00826-RJC-DSC, 2018 WL 4494985, at *3 (W.D.N.C. Sept. 18, 2018) (unpublished), [aff’d](#), 748 F. App’x 563 (4th Cir. 2019) (per curiam) (unpublished); [Johns v. Stillwell](#), No. 3:07-CV-00063, 2009 WL 1408517, at *4 (W.D. Va. May 20, 2009) (unpublished).

24 25 The prima facie case required under the [McDonnell Douglas](#) framework bolsters this conclusion about [section 3604\(a\)](#). Under the [McDonnell Douglas](#) framework, plaintiffs “must show that: (1) they belong to a protected class, (2) they sought and were qualified for a dwelling, (3) they were denied the opportunity to buy [or rent] the dwelling, and (4) the dwelling remained available.” [Martin](#), 535 F. App’x at 244; [cf.](#) [Williams v. Staples, Inc.](#), 372 F.3d 662, 667 (4th Cir. 2004). By requiring plaintiffs to show they were denied the opportunity to buy or rent housing, the prima facie case to demonstrate a claim under [section 3604\(a\)](#) presupposes the statutory focus on the sale or **rental** of a dwelling, not conduct beyond the point of acquisition.

26 27 28 29 However, in a narrow class of cases, [section 3604\(a\)](#) also may reach **discriminatory** conduct that results in something analogous to constructive eviction. See [Bloch](#), 587 F.3d at 776–79; [Halprin](#), 388 F.3d at 329; [see also](#) 24 C.F.R. § 100.60(b)(7) (interpreting [section 3604\(a\)](#) to prohibit “[s]ubjecting a person to harassment because of race ... that causes the person to vacate a dwelling or abandon efforts to secure the dwelling”). Generally, a constructive eviction occurs when a landlord breaches the lease and thereby “deprives his tenant of that beneficial enjoyment of the premises to which he is entitled under his lease, causing the ***97** tenant to abandon them.” [Brennan Station 1671, LP v. Borovsky](#), 262 N.C. App. 1, 11, 821 S.E.2d 640, 647 (2018) (quotation omitted); [see Bloch](#), 587 F.3d at 777; [Marina Food Assocs., Inc. v. Marina Rest., Inc.](#), 100 N.C. App. 82, 92, 394 S.E.2d 824, 830 (1990). To demonstrate a constructive eviction claim, the tenant must show that he “abandoned the premises within a reasonable time after the landlord’s wrongful act.” [Gardner v. Ebenezer, LLC](#), 190 N.C. App. 432, 436, 660 S.E.2d 172, 175 (2008) (quotation omitted); [see Bloch](#), 587 F.3d at 778; [K & S Enters. v. Kennedy Office Supply Co.](#), 135 N.C. App. 260, 266–67, 520 S.E.2d 122, 126 (1999), [aff’d](#), 351 N.C. 470, 527 S.E.2d 644 (2000) (per curiam). The landlord’s actions must have made the plaintiff’s dwelling “truly unavailable.” [Radcliffe v. Avenel Homeowners Ass’n, Inc.](#), No. 7:07-CV-48-F, 2013 WL 556380, at *5 (E.D.N.C. Feb. 12, 2013) (unpublished). Thus, conduct that makes a dwelling truly unavailable, in a manner analogous to constructive eviction, may demonstrate a violation of [section 3604\(a\)](#).

30 Bishop and Remco rented the 559B unit to the Harrises on behalf of Vanderburg. Moreover, neither Vanderburg, Remco, or Bishop prevented the Harrises from **moving in**. [See](#) [D.E. 99] ¶ 4; [D.E. 99-2]; [D.E. 113] 4. Thus, no defendant refused to rent to the Harrises and no defendant refused to negotiate a **rental** with the Harrises. Furthermore, nothing about the Harrises’ negotiations with Bishop and Remco and the process of initially leasing the 559B unit indicates Vanderburg, Remco, or Bishop had **discriminatory** intent toward the Harrises. [See Inclusive Cmty.](#), 576 U.S. at 524, 135 S.Ct. 2507; [Betsey](#), 736 F.2d at 986.

31 As for whether Remco and Bishop made the 559B unit “truly unavailable” in a manner analogous to a constructive eviction, they did not.⁴ Indeed, the Harrises continued living in the 559B unit until the end of January 2018. [See](#) [D.E. 99-9]; [D.E. 108-1] 170–74. Moreover, Gurkins, not Remco or Bishop, committed the offending racially **discriminatory** conduct that forced the Harrises ultimately to vacate the 559B unit. And, as explained, Remco and Bishop are not directly or vicariously liable for Gurkins’s racially **discriminatory** behavior. Thus, the court grants Remco and Bishop summary judgment on that claim.

32 As for Vanderburg, she was not involved in initially renting the 559B unit to the Harrises; therefore, she did not refuse to rent or sell or refuse to negotiate the sale or **rental** of that unit to the Harrises. [See](#) [D.E. 96] ¶¶ 6–9; [D.E. 113] 3. However, as explained, a genuine issue of material fact exists concerning whether Vanderburg is liable for Gurkins’s misconduct. Viewing the evidence in the light most favorable to the Harrises,

Gurkins racially harassed the Harrises, and the Harrises vacated the premises because of that racial harassment. However, the Harrises waited months to vacate the premises, even after Vanderburg agreed to pay back half the rent to the Harrises if they moved out by November 30, 2017. See [Gardner](#), 190 N.C. App. at 436, 660 S.E.2d at 175. Instead of taking that offer, the Harrises did not notify Remco of their intent to vacate until December 29, 2017, and did not move out until the end of January 2018. Whether that delay was unreasonable is an issue of fact for the jury. See *98 [McNamara v. Wilmington Mall Realty Corp.](#), 121 N.C. App. 400, 405–06, 466 S.E.2d 324, 328 (1996). Genuine issues of material fact exist concerning Vanderburg's knowledge of Gurkins's racial harassment and whether the Harrises unreasonably delayed in vacating the premises. Accordingly, the court denies Vanderburg's motion for summary judgment concerning the Harrises' claim under [section 3604\(a\)](#).

C.

33 34 Vanderburg, Remco, and Bishop seek summary judgment on the Harrises' claims under [section 3604\(b\)](#). See [D.E. 95] 14–18; [D.E. 100] 6–13. [Section 3604\(b\)](#) makes it unlawful “[t]o **discriminate** against any person in the terms, conditions, or privileges of sale or **rental** of a dwelling, or in the provision of services or facilities in connection therewith, because of” a protected characteristic, including race. 42 U.S.C. § 3604(b). By its plain language, [section 3604\(b\)](#) is broader than [section 3604\(a\)](#). [Section 3604\(b\)](#) prohibits including terms or conditions related to the sale or dwelling of housing that result in race **discrimination**. See, e.g., [Cox](#), 430 F.3d at 745; [Woods-Drake v. Lundy](#), 667 F.2d 1198, 1201–02 (5th Cir. 1982). Thus, even if a defendant did not outright refuse the sale or **rental** of a dwelling (or outright refuse to negotiate the same) under [section 3604\(a\)](#), a person can still violate the FHA by imposing **discriminatory** terms or conditions on the sale or **rental**. The phrase “provision of services or facilities” includes “such things as garbage collection and other services of the kind usually provided by municipalities.” [Mackey v. Nationwide Ins. Cos.](#), 724 F.2d 419, 424 (4th Cir. 1984), superseded by regulation on other grounds. The phrase also includes maintenance or repairs delayed or foregone on account of the tenant's protected characteristic. See [Nat'l Fair Housing All. v. Bank of Am., N.A.](#), 401 F. Supp. 3d 619, 639 (D. Md. 2019) (citing 24 C.F.R. § 100.65(a)–(b)(2)). Moreover, liability under [section 3604\(b\)](#) also may arise from constructive eviction, which effectively denies a tenant the privileges of the **rental** (i.e., the privilege of inhabiting the rented dwelling). See [Bloch](#), 587 F.3d at 779.

35 A person can bring a hostile housing environment claim under [section 3604\(b\)](#). To demonstrate a hostile housing environment claim, a plaintiff must show: “(1) she endured unwelcome harassment based on a protected characteristic; (2) the harassment was severe or pervasive enough to interfere with the terms, conditions, or privileges of her residency, or in the provision of services or facilities; and (3) that there is a basis for imputing liability to the defendant.” [Wetzel](#), 901 F.3d at 861–62; cf. [Boyer-Liberto v. Fontainebleau Corp.](#), 786 F.3d 264, 277 (4th Cir. 2015) (en banc) (articulating the Title VII hostile work environment standard); [Honce v. Vigil](#), 1 F.3d 1085, 1090 (10th Cir. 1993) (applying hostile work environment analysis to hostile housing environment claim); [Town of Clarkton](#), 682 F.2d at 1065 (noting that Title VII and Title VIII have similar “anti-**discrimination** objectives”); [Childress v. Roberts](#), No. 7:17-2529-HMH, 2019 WL 6723823, at *3 (D.S.C. Dec. 11, 2019) (unpublished); [Fahnbulleh v. GFZ Realty, LLC](#), 795 F. Supp. 2d 360, 363 (D. Md. 2011); [Williams v. Poretsky Mgmt., Inc.](#), 955 F. Supp. 490, 495–96 (D. Md. 1996).

36 37 The Harrises' lease did not include **discriminatory** terms or conditions. See [D.E. 99-2]. Moreover, the Harrises were not denied services, maintenance, or repairs because of their race. See [D.E. 108-1] 255–59 (showing completed work orders for the 559B unit). And, as discussed, even viewing the evidence in the light most favorable to the Harrises, Remco and Bishop bear no responsibility for *99 the constructive eviction Gurkins caused, but genuine issues of material fact exist concerning whether Vanderburg bears any responsibility.

38 As for a hostile housing environment claim, viewing the evidence in the light most favorable to the Harrises, the Harrises suffered pervasive, unwelcome, racial harassment

that interfered with the privileges of their **rental**. However, because Remco and Bishop are not liable for Gurkins's racial harassment, there is no basis for imputing liability to them for the alleged hostile housing environment. See [Wetzel](#), 901 F.3d at 861–62. However, as discussed, genuine issues of material fact exist concerning whether to impute liability to Vanderburg for Gurkins's racial harassment. Accordingly, the court grants summary judgment to Remco and Bishop and denies summary judgment to Vanderburg on the Harrises' [section 3604\(b\)](#) claim.

D.

39 40 41 Vanderburg, Remco, and Harris seek summary judgment on the Harrises' claim under [section 3604\(c\)](#). See [D.E. 95] 12–13; [D.E. 100] 6–13. [Section 3604\(c\)](#) makes it unlawful “[t]o make, print, or publish, or cause to be made, printed, or published any notice, statement, or advertisement, with respect to the sale or **rental** of a dwelling that indicates any preference, limitation, or **discrimination** based on race, color, religion, sex, handicap, familial status, or national origin, or an intention to make any such preference limitation, or **discrimination**.” 42 U.S.C. § 3604(c). [Section 3604\(c\)](#) prohibits “oral or written statements with respect to the **rental** of a dwelling that indicate a ‘preference, limitation, or **discrimination**’ based on certain protected statuses, including” race. [Corey](#), 719 F.3d at 326. To establish liability, a plaintiff must show that (1) the defendant made a statement; (2) the defendant's statement concerned the sale or **rental** of a dwelling; and (3) the defendant's statement indicated a preference, limitation, or **discrimination** on the basis of race. See [id.](#); [White v. HUD](#), 475 F.3d 898, 904 (7th Cir. 2007). To determine whether a statement indicates a preference, limitation, or **discrimination** on the basis of race, a court uses an “ordinary reader” or “ordinary listener” standard. See [Corey](#), 719 F.3d at 326; [White](#), 475 F.3d at 905–06; [United States v. Hunter](#), 459 F.2d 205, 215 (4th Cir. 1972); [United States v. Cochran](#), 39 F. Supp. 3d 719, 737 (E.D.N.C. 2014). Evidence of a speaker's subjective motivation for the statement is unnecessary. See [Corey](#), 719 F.3d at 326; [Jancik v. HUD](#), 44 F.3d 553, 556 (7th Cir. 1995).

42 The Harrises have not presented evidence that Vanderburg, Remco, or Bishop made any oral or written **discriminatory** statement that indicated a racial preference concerning who could rent the 559B unit. As for Vanderburg, the Harrises never spoke directly to Vanderburg about renting the 559B unit but rather communicated directly with Remco. See P. Harris Depo. [D.E. 107-8] 29–30; W. Harris Depo. [D.E. 107-9] 16–17. As for Remco and Bishop, no Remco employee said anything to the Harrises indicating that there was a racial preference concerning who could rent the 559B unit. See, e.g., [D.E. 111] 10. Moreover, to the extent Vanderburg is liable for Gurkins's racial harassment, Gurkins's racial harassment does not concern limitations or preferences related to the sale or **rental** of a dwelling. Indeed, Gurkins never spoke to the Harrises until after the Harrises had **moved in** to the 559B unit. See 24 C.F.R. § 100.75(b) (“The prohibitions [in [section 3604\(c\)](#)] shall apply to all written or oral notices or statements by a person engaged in the sale or **rental** of a dwelling.”). Thus, the court grants ***100** Vanderburg, Remco, and Bishop's motions for summary judgment on the Harrises' claim under [section 3604\(c\)](#).

E.

43 44 Vanderburg, Remco, and Bishop seek summary judgment on the Harrises' claim under section 3617 of the FHA. See [D.E. 95] 14–19; [D.E. 100] 8–13. [Section 3617](#) provides that “[i]t shall be unlawful to coerce, intimidate, threaten, or interfere with any person in the exercise or enjoyment of, or on account of his having exercised or enjoyed, or on account of his having aided or encouraged any other person in the exercise or enjoyment of, any right granted or protected by [section 3603](#), [3604](#), [3605](#), or [3606](#) of this title.” 42 U.S.C. § 3617. A plaintiff need not show a violation of [sections 3603](#) through [3606](#) to show a violation of [section 3617](#). See [Revock v. Cowpet Bay W. Condominium Ass'n](#), 853 F.3d 96, 112 (3d Cir. 2017); [Linkletter v. W. & S. Fin. Grp., Inc.](#), 851 F.3d 632, 639 (6th Cir. 2017) (“[Section 3617](#) requires a nexus with the rights protected by §§ 3603–06, without requiring an actual violation of the underlying provisions.”); [Bloch](#), 587 F.3d at 781–82; [Smith v. Stechel](#), 510 F.2d 1162, 1164 (9th Cir. 1975). And “[a] claim may arise before or, as here, after a plaintiff acquires housing.” [Revock](#), 853 F.3d at 112; see [Bloch](#), 587 F.3d at 782.

45 46 To demonstrate a retaliation claim, a plaintiff must show “that (1) she was engaged in protected activity; (2) [the defendant] was aware of that activity; (3) [the defendant] took adverse action against her; and (4) a causal connection existed between the protected activity and the asserted adverse action.” [Hall v. Greystar Mgmt. Svcs., L.P.](#), 637 F. App’x 93, 97–98 (4th Cir. 2016) (unpublished); see [Bryant v. City of Norfolk](#), No. 2:20CV26 (RCY), 2021 WL 765405, at *3 (E.D. Va. Feb. 26, 2021) (unpublished). Claims under “section 3617 are based, at least in part, on an intent to **discriminate**.” [Morgan v. Brittany Woods Homeowner’s Ass’n](#), No. 5:18-CV-291-D, 2019 WL 2114255, at *5 (E.D.N.C. May 14, 2019) (unpublished) (quotation omitted); see [Linkletter](#), 851 F.3d at 639; [Austin v. Town of Farmington](#), 826 F.3d 622, 630 (2d Cir. 2016); [Sofarelli v. Pinellas Cnty.](#), 931 F.2d 718, 722–23 (11th Cir. 1991); [Davis v. Raleigh Hous. Auth.](#), No. 5:09-CV-522-F, 2011 WL 832330, at *4 (E.D.N.C. Jan. 27, 2011) (unpublished), report and recommendation adopted, 2011 WL 830557 (E.D.N.C. Mar. 3, 2011) (unpublished). Moreover, the “[r]etaliatory conduct, by its very nature, must come after the protected activity.” [Hall](#), 637 F. App’x at 98; see [Dowe v. Total Action Against Poverty in Roanoke Valley](#), 145 F.3d 653, 657 (4th Cir. 1998), abrogated on other grounds by [Burlington N. & Santa Fe Ry. v. White](#), 548 U.S. 53, 126 S.Ct. 2405, 165 L.Ed.2d 345 (2006).

47 The court denies Vanderburg, Remco, and Bishop’s motions for summary judgment. As discussed, genuine issues of material fact exist concerning what the Harrises reported to Bishop and Remco, what Bishop and Remco reported to Vanderburg, and who knew what and when. Moreover, during the time period when Gurkins was racially harassing the Harrises, Vanderburg, Remco, and Bishop attempted to evict the Harrises and told the Harrises they could not renew their lease. See [D.E. 99-3, 99-4]; [D.E. 108-1] 147. The temporal relationship between the eviction, the notice that the Harrises could not renew their lease, Gurkins’s racial harassment, and the Harrises’ complaints to Remco creates a jury question. See [Foster v. Univ. of Maryland-E. Shore](#), 787 F.3d 243, 253 (4th Cir. 2015).

In opposition, Vanderburg, Remco, and Bishop argue they had a nondiscriminatory reason to evict the Harrises—namely, that ***101** Gurkins had complained to Vanderburg (and Vanderburg then to Remco and Bishop) that the Harrises were causing disturbances at the duplex. See, e.g., [D.E. 100] 12. The Harrises respond that evicting tenants was unusual for Remco and that Remco did not follow its usual eviction procedures when it evicted the Harrises. See [D.E. 110] 25–26. A jury question exists concerning Vanderburg, Remco, and Bishop’s reasons for evicting the Harrises and not renewing their lease. Thus, the court denies Vanderburg, Remco, and Bishop’s motions for summary judgment on the Harrises’ [section 3617](#) claim.

III.

The court next addresses the Harrises’ state law claims. Vanderburg, Remco, and Bishop ask the court not to exercise supplemental jurisdiction over these claims. See [D.E. 95] 19–20; [D.E. 100] 13. Because the claims arise from the same nucleus of operative fact and because the court is not granting summary judgment on all of the Harrises’ federal law claims, the court will continue to exercise supplemental jurisdiction over these claims. See, e.g., 28 U.S.C. § 1367; [Carnegie-Mellon Univ. v. Cohill](#), 484 U.S. 343, 349, 108 S.Ct. 614, 98 L.Ed.2d 720 (1988); [United Mine Workers of Am. v. Gibbs](#), 383 U.S. 715, 725, 86 S.Ct. 1130, 16 L.Ed.2d 218 (1966); [ESAB Grp., Inc. v. Zurich Ins. PLC](#), 685 F.3d 376, 394 (4th Cir. 2012); [Shanaghan v. Cahill](#), 58 F.3d 106, 110 (4th Cir. 1995). Vanderburg, Remco, and Bishop also argue they are entitled to summary judgment on the merits of the state-law claims. See [D.E. 95] 20–29; [D.E. 100] 13–16. The court considers each claim in turn.

A.

48 49 50 As for the Harrises’ claim for breach of the covenant of quiet enjoyment, see Am. Compl. ¶¶ 78–79, the court grants summary judgment. Under North Carolina law, leases contain an implied covenant of quiet enjoyment. See [N.C. Indian Cultural Ctr., Inc. v. Sanders](#), 266 N.C. App. 62, 68, 830 S.E.2d 675, 681 (2019); [Charlotte Eastland Mall, LLC v. Sole Survivor, Inc.](#), 166 N.C. App. 659, 663, 608 S.E.2d 70, 73 (2004); [K & S Enters.](#), 135 N.C. App. at 267, 520 S.E.2d at 126–27. “[I]t is long-settled that the covenant of quiet enjoyment does not extend to the acts of trespassers and wrongdoers.” [N.C. Indian Cultural Ctr.](#), 266 N.C. App. at 70, 830 S.E.2d at 682 (cleaned up); see [Huggins v. Waters](#),

167 N.C. 197, 198, 83 S.E. 334, 334 (1914); [Charlotte Eastland Mall](#), 166 N.C. App. at 663, 608 S.E.2d at 73. Thus, for a breach of the covenant of quiet enjoyment, a court focuses on the landlord's conduct, not on the conduct of a wrongdoer like Gurkins. But outside of Gurkins's racial harassment, the Harrises have not cited conduct by Vanderburg, Remco, and Bishop that breached the covenant of quiet enjoyment. See [D.E. 110] 26–28; [D.E. 112] 22–24. Thus, the court grants summary judgment on this claim.

B.

As for the Harrises' wrongful eviction claim under [N.C. Gen. Stat. § 42-42.2](#), see Am. Compl. ¶¶ 80–86, the court grants summary judgment. Under [N.C. Gen. Stat. § 42-42.2](#), in relevant part, a landlord may not evict a tenant or refuse to renew a lease based on the tenant's "status as a victim of domestic violence, sexual assault, or stalking." [N.C. Gen. Stat. § 42-42.2\(i\)](#). To put a landlord on notice of a tenant's protected status, a tenant may provide to the landlord, among other things, "[l]aw enforcement, court, or federal agency records or files." [Id.](#) § 42-42.2(1).

51 On November 14, 2017, the Harrises filed stalking charges against Gurkins. See Am. Compl. ¶ 49; [D.E. 108-1] *102 191–94. But by then, the eviction proceedings against the Harrises had already been initiated and dismissed with prejudice. See [D.E. 99-3, 99-4]. Moreover, Vanderburg, Remco, and Bishop already had told the Harrises they would not renew the lease. See [D.E. 108-1] 147. Finally, the Harrises never provided any police records or files to Vanderburg, Remco, or Bishop. See [D.E. 96] ¶ 37; [D.E. 99] ¶ 17; [D.E. 111] 12; [D.E. 113] 23. Thus, Vanderburg, Remco, and Bishop could not have attempted to evict the Harrises based on the stalking charges against Gurkins or because of police records or files related to stalking. Accordingly, the court grants summary judgment on this claim.

C.

52 53 As for the Harrises claims that Vanderburg, Remco, and Bishop maintained unsafe premises in violation of [N.C. Gen. Stat. § 42-42\(a\)\(3\)](#) and were negligent for failing to maintain the premises at the 559B unit, see Am. Compl. ¶¶ 87–96, the court grants summary judgment. The duty of a landlord to maintain safe premises under this statute focuses on a landlord's duty to keep the physical property in good repair. See, e.g., [Poursaied v. Summermill at Falls River-Banner Apartment Buildings](#), No. 5:17-CV-115-D, 2018 WL 1311997, at *7 (E.D.N.C. Feb. 14, 2018) (unpublished), report and recommendation adopted, 2018 WL 1129971 (E.D.N.C. Mar. 1, 2018) (unpublished); [Lenz v. Ridgewood Assocs.](#), 55 N.C. App. 115, 117–20, 284 S.E.2d 702, 703–05 (1981); [Mansfield v. Real Estate Plus, Inc.](#), 244 N.C. App. 344, 780 S.E.2d 890, 2015 WL 7729227, at *1–3 (2015) (unpublished table decision); [Baker v. Duhan](#), 75 N.C. App. 191, 192–94, 330 S.E.2d 53, 54–55 (1985); [O'Neal v. Kellett](#), 55 N.C. App. 225, 226–28, 284 S.E.2d 707, 709–10 (1981). The relevant statutory provisions focus on, inter alia, building and housing codes, keeping premises in a habitable condition, maintaining electrical, plumbing, and HVAC systems, and providing smoke alarms. See [N.C. Gen. Stat. § 42-42](#). This case does not involve the physical conditions of the 559 Huntingridge Road duplex. Accordingly, the court grants summary judgment on this claim. And because the Harrises' negligence claim, see Am. Compl. ¶¶ 91–96, relies solely on the alleged breach of a duty to maintain safe premises, the court grants defendants summary judgment on that claim also.

D.

54 55 56 57 As for the Harrises' claims for trespass, assault, and invasion of privacy, see Am. Compl. ¶¶ 97–106, the court denies summary judgment Under North Carolina law, a business owner may be liable for the reasonably foreseeable "accidental, negligent, or intentionally harmful acts of third persons" toward the owners' invitees. [Foster v. Winston-Salem Joint Venture](#), 303 N.C. 636, 638, 281 S.E.2d 36, 38 (1981). An owner may similarly be liable for injuries caused by reasonably foreseeable, intentional, criminal acts committed by third persons. See [id.](#) at 638–40, 281 S.E.2d at 38–39; [Davenport v. D.M. Rental Props., Inc.](#), 217 N.C. App. 133, 135–36, 718 S.E.2d 188, 189–90 (2011). The conduct of third persons is reasonably foreseeable if the owner "know[s] or ha[s] reason to know, from past experience, that there is a likelihood of conduct on the part of third persons in general which is likely to endanger the safety of the visitor." [Foster](#), 303 N.C. at 639–40,

281 S.E.2d at 38 (quotation omitted); see [Stricklin v. Stefani](#), 358 F. Supp. 3d 516, 531–32 (W.D.N.C. 2018). In a landlord-tenant relationship, “[a] tenant is normally seen as an invitee.” [Shepard v. Drucker & Falk](#), 63 N.C. App. 667, 669, 306 S.E.2d 199, 201 (1983); see [Davenport](#), 217 N.C. App. at 135, 718 S.E.2d at 190.

58 *103 The Harrises, as tenants, were the invitees of Vanderburg, Remco, and Bishop. And based on Gurkins's mistreatment of the Harrises, Gurkins sustained convictions for communicating threats, trespassing, and stalking. Moreover, Vanderburg, Remco, and Bishop do not contest that Gurkins trespassed on the Harrises' **rental** property, assaulted Mrs. Harris, and invaded the Harrises' privacy. They argue only that summary judgment is warranted because they are not accountable for Gurkins's conduct. See [D.E. 95] 28; [D.E. 100] 15. Under North Carolina law, however, defendants may be liable for Gurkins's assault, trespass, and invasion of privacy if the conduct was reasonably foreseeable. Moreover, Gurkins has a history of harassing and committing crimes against tenants renting Vanderburg's properties. See [D.E. 108-1] 278–319. Viewing the evidence in the light most favorable to plaintiffs, the court denies summary judgment on these claims.

E.

As for the Harrises' unfair and deceptive trade practices claim under N.C. Gen. Stat. §§ 75-1.1 et seq., see Am. Compl. ¶¶ 107–113, defendants concede that the unfair and deceptive trade practices claim “is contingent upon [the Harrises'] ability to maintain a viable FHA claim.” [D.E. 100] 15; see [D.E. 95] 29. Because the court denies summary judgment on some of the Harrises' FHA claims, the court denies summary judgment on the Harrises' unfair and deceptive trade practices claim. See [Johnson v. York Simpson Underwood, LLC](#), No. 1:03CV01141, 2005 WL 1378848, at *9–10 (M.D.N.C. June 9, 2005) (unpublished).

IV.

In sum, the court DENIES IN PART Vanderburg's motion for summary judgment as to the claims under [section 3604\(a\)](#), [section 3604\(b\)](#), [section 3617](#), and the Harrises' trespass, assault, invasion of privacy, and unfair and deceptive trade practices claims [D.E. 94]. The court GRANTS IN PART Vanderburg's motion for summary judgment as to the [section 3604\(c\)](#) claim and the remaining state law claims [D.E. 94]. The court DENIES IN PART Remco and Bishop's motion for summary judgment on the [section 3617](#) claim and the Harrises' trespass, assault, invasion of privacy, and unfair and deceptive trade practices claims [D.E. 98]. The court GRANTS IN PART Remco and Bishop's motion for summary judgment on the FHA claims under [section 3604\(a\)](#), [section 3604\(b\)](#), and [section 3604\(c\)](#), as well as the remaining state law claims [D.E. 98]. The court DENIES as moot the Harrises' motion for leave to file a combined surreply [D.E. 126]. Nothing in this order resolves any of the claims pending against Gurkins, who was not a party to the motions for summary judgment.

The parties SHALL participate in a court-hosted settlement conference with Magistrate Judge Gates. If the case does not settle, the parties will propose trial dates.

SO ORDERED. This 10th day of February, 2022.

All Citations

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Footnotes

- 1 Based on the complaints the Harrises filed in state court, Gurkins was found guilty of communicating threats, trespassing, and stalking. See [D.E. 108-1] 140–41, 161–62. Gurkins is currently serving a federal sentence for criminal violations of the Fair Housing Act involving threats of force. See Judgment, [United States v. Gurkins](#), No. 2:20-CR-31-BO (E.D.N.C. Nov. 23, 2020), [D.E. 28]. His harassment of the Harrises was not one of the counts of conviction, but the court considered it as relevant conduct at sentencing.

- 2 Vanderburg, Remco, and Bishop argue that no court has accepted section 100.7(a)(iii) wholesale. See [D.E. 95] 17–18; [D.E. 100] 7–8. However, that assertion is different than arguing that the HUD regulations are not entitled to [Chevron](#) deference.
- 3 Although Gurkins may have occasionally contacted Remco about Vanderburg's properties, Gurkins never had authority to act on Vanderburg's behalf. Vanderburg always required Remco to seek her approval. See Bradley Depo. [D.E. 107-5] 8. Moreover, Gurkins did not contact Remco directly about the Harrises. Gurkins made complaints to Vanderburg, who in turn contacted Remco. See, e.g., [D.E. 96] ¶¶ 15–16; Bishop Depo. [D.E. 107-2] 9.
- 4 The court considers separately whether Remco and Bishop's attempt to evict the Harrises violated [section 3617](#).

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